

the following day onwards. But after a good night's sleep they are back to being their usual selves,' GB said. 'I am sure the same goes for all those who tonight vowed to reduce their positions after a few pegs. If anything, they will buy more as prices rise.'

The following Monday, the Sensex hit a new peak of 6,150 intra-day, but again closed below 6000. By now the bulls were delirious with excitement and buying stocks at whim, confident that the index would hit 7,000 by the end of the month. I was surprised to see some of the most level-headed fund managers I knew behaving like momentum traders, chasing stocks on their way up.

One particular fund manager at a domestic fund house who, until a couple of months ago swore by Warren Buffet's principles of value investing, suddenly turned hyper-bullish on new-economy stocks. At a press conference announcing a new fund, a journalist asked him what value he saw in Zee at around Rs 14,000 (unadjusted for stock split) a share.

'People who go by the absolute price of a stock and say that Zee is expensive do not understand the business of the company,' the fund manager replied. He was lucky that nobody in the audience asked him to elaborate further.

A week later, the Sensex topped 6,000 a third time, but again failed to close above that mark. Some technical analysts saw this as a sign that the market was on the verge of peaking out, if it hadn't already. But nobody took much notice of the slackness in the Sensex. After all, technology stocks were reaching highs by the day. So long as there was money to be made, what difference did it make where the Sensex was?

The Union Budget further fired up market sentiment. It raised the FII ceiling in listed Indian companies to 40 per cent from the earlier 30. Only a month ago, Indian companies had been allowed to raise funds through issue of American depository receipts (ADRs) and global depository receipts (GDRs) without prior government approval. ADRs and GDRs were the equivalent of shares, except that they were offered to investors in overseas markets. ADRs are listed on a US stock exchange (either Nasdaq or NYSE), and GDRs on the Luxembourg Stock Exchange.

The government also allowed Indian companies to use up to 50 per cent of their ADR and GDR proceeds to acquire companies in overseas markets. In the coming months, a few companies would raise money through GDRs, and the promoters would siphon off the funds by acquiring dubious